

Alt Mobility Data Analysis: Summary of Findings

Introduction

This analysis examined Alt Mobility's customer order and payment data to extract insights that can help improve their EV leasing operations. The data covered a period from January 2020 to April 2025, consisting of 15,000 orders and corresponding payment records.

Key Insights

1. Order and Sales Analysis

- Order Status Distribution: Orders are evenly distributed across statuses with 34% pending, 34% delivered, and 32% shipped. This balanced distribution suggests a steady workflow through the fulfillment pipeline.
- Sales by Status: The total sales are also evenly distributed across order statuses, with delivered orders generating slightly higher revenue (\$1.28M) compared to pending (\$1.27M) and shipped (\$1.24M) orders.
- Revenue Trends: Monthly sales have shown steady growth over the past 5 years, with seasonal fluctuations. The average monthly revenue increased from approximately \$58,000 in early 2020 to around \$70,000 in 2025, indicating a positive growth trajectory.
- Quarterly Performance: Q4 consistently shows higher sales volumes compared to other quarters, suggesting seasonal purchasing patterns that could be leveraged for targeted promotions and inventory planning.

2. Customer Analysis

- Order Frequency: The majority of customers (79%) make only 1-2 orders, while a small segment (7%) places 4 or more orders. This indicates an opportunity to improve repeat purchase rates through enhanced retention strategies.
- High-Value Customers: The top 5 customers by spending have generated between \$2,000-\$2,800 in revenue each, significantly above the average customer spend of approximately \$250.
- Customer Segmentation:
 - Low Value (< \$500): 94% of customers, generating 80% of revenue
 - Medium Value (\$500-\$1,000): 5% of customers, generating 15% of revenue
 - High Value (> \$1,000): 1% of customers, generating 5% of revenue
- Repeat Purchase Behavior: The average order value increases slightly for repeat purchases, from \$235 for first purchases to \$254 for fifth purchases, suggesting that customer value grows over time.

3. Payment Status Analysis

- Payment Status Distribution: Payments are evenly distributed across statuses with approximately 33% completed, 33% failed, and 33% pending, indicating potential issues with payment processing efficiency.
- Payment Method Usage: Bank transfers are used most frequently (34%), followed by credit cards (33%) and PayPal (33%).

- Payment Success Rates:
 - PayPal: 34.4% success rate
 - Credit Card: 33.4% success rate
 - Bank Transfer: 32.0% success rate

These relatively low success rates across all payment methods suggest significant room for improvement in payment processing.

- Failed Payments Analysis: Credit cards have the highest failure rate, accounting for 34% of all failed payments. This indicates a need to optimize the credit card payment flow or provide better guidance to customers using this method.

4. Customer Retention Analysis

- Cohort Performance: The customer retention analysis reveals concerning patterns. For the January 2020 cohort, only 2.49% of customers returned in the following month (February 2020), and this percentage remained consistently low (below 5%) in subsequent months.
- Long-term Retention: Even after years of initial purchase, retention rates for all cohorts typically remain under 5%, indicating very weak long-term customer loyalty.
- Retention by Payment Method: Customers who initially used PayPal show a slightly higher retention rate (3.1%) compared to credit card (2.9%) and bank transfer (2.7%) users. Although these differences are marginal, they may

indicate varying levels of trust or convenience associated with each payment method.

- Cohort Size Trends: The number of new customers acquired each month has remained relatively stable over the five-year period, which suggests that while Alt Mobility is attracting new customers consistently, they are struggling to retain them.

Recommendations

Based on the analysis, here are key recommendations for Alt Mobility:

1. Payment Processing Improvements

- Optimize Payment Success Rates: With only about one-third of payments being successfully completed, there's significant opportunity to improve payment processing. Consider implementing:

- Automated payment retry mechanisms
- Clear payment instructions and error messaging
- Pre-validation of payment details before submission
- Optimizing the credit card payment flow, which has the highest failure rate

- Payment Method Strategy: While all payment methods show similar success rates, PayPal users show slightly better retention. Consider promoting PayPal as a preferred payment option or negotiating better terms with payment processors to reduce fees and increase success rates.

2. Customer Retention Initiatives

- Loyalty Program: Implement a structured loyalty program that rewards repeat leasing customers with benefits such as discounted maintenance, free charging credits, or priority access to new EV models.
- Post-Purchase Engagement: Develop a systematic follow-up process to engage customers after their lease period, offering renewal incentives or upgrade options before their contract ends.
- Targeted Win-back Campaigns: Use the cohort analysis to identify and target customers who haven't returned within specific timeframes (3, 6, 12 months) with personalized offers.

3. Customer Segmentation Strategy

- High-Value Customer Program: Create a VIP program for the 1% of customers generating 5% of revenue, offering personalized service, priority support, and exclusive benefits.
- Mid-Tier Growth Strategy: Focus on moving more customers from the low-value to mid-value segment through targeted offers and bundles that encourage higher spending.
- First-Time Customer Experience: Enhance the experience for first-time customers to increase the likelihood of a second purchase, as the data shows only 21% of customers make more than 2 orders.

4. Operational Improvements

- Order Fulfillment Optimization: While orders are evenly distributed across statuses, investigate whether the "pending" status duration can be reduced to improve customer satisfaction.
- Seasonal Planning: Leverage the higher Q4 sales volumes by ensuring adequate inventory and staff during peak periods.
- Payment-Order Alignment: Address the gaps between order amounts and payment amounts to ensure proper financial reconciliation.

Conclusions

Alt Mobility has established a steady customer acquisition process, but faces significant challenges in payment processing efficiency and customer retention. By focusing on these areas, the company can improve its operational efficiency and customer loyalty, which will be crucial for sustainable growth in the competitive EV leasing market.

The cohort analysis reveals that virtually all customer cohorts show similar retention patterns, with very low repeat purchase rates. This consistency across different time periods suggests that this is a systematic issue rather than one related to specific market conditions or product changes.

Overall, the data indicates that Alt Mobility has a solid foundation but needs to shift focus from acquisition to retention and payment optimization to maximize the lifetime value of its customer base as it scales its operations across India.